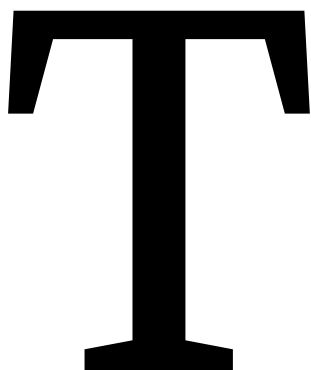




The InterContinental Hotels Group (IHG) is known for iconic brands Crowne Plaza, Holiday Inn, Six Senses, and, of course, InterContinental. It has a strong presence across the world, though India has emerged as a key market of late. In a freewheeling chat, Haitham Mattar, Managing Director, MEA & Southwest Asia, IHG Hotels & Resorts, tells *Business Today's* *Krishna Gopalan* how he chooses which brand is ready for which market, the opportunities in India, and a lot more. Edited excerpts:

Q: Which market does India remind you of and at what point in time? What makes it unique?

A: There's a lot of cultural cross-exposure between India and the Middle East. After all, it is one of the oldest countries from where some of the oldest religions have come. A country that is highly spiritual resonates with the Gulf region. These are the things that come to my mind when I travel to India or the Middle East or the rest of the world.

Then, you look at China and India, not necessarily in terms of culture and food, but size. The critical mass that you see in both the countries makes you realise that you are in a consumption society that gives you opportunities for growth. India has a massive captive market. You've just got to find the right segment, the right product, create a need, and you are in business.

Q: Where does India stand in the overall global strategy of IHG?

A: We have grown tremendously in India from 16 hotels in 2013 to 46 today. The goal is to double our inventory over the next three to five years. Our global CEO Elie Maalouf has four-five focus countries, including India.

Q: You have a large portfolio of brands. How

do you balance them in positioning and product offering?

A: We have 19 brands, but they are unique in their own way. There is no cross-contamination. They all have their own swimming lanes and remain very different—Holiday Inn and Holiday Express have a clear difference in terms of room size, experience, food and beverage options. Plus, they target different segments of the market. Brand affinity comes from how it resonates with the consumer. **People may not be loyal to IHG per se but will be loyal to InterContinental or Holiday Inn or Crowne Plaza.**

Q: You have seen many markets globally. How do you decide when a market is ready for any of your brands?

A: We do a lot of research on customer trends to understand what's changing and what people are looking for. This is important since we must cater to the new generation, which is always looking for something different. Our brands must be true to themselves. Take InterContinental. You have to keep the brand's hallmarks even as it is renovated and renewed. Research helps us understand which markets need which brand.

All our brands exist in the US. We have a brand called Even Hotels, which is focused on wellness. We realised from the tourism strategy of Saudi Arabia that there was a large domestic market with a young population. About 70% are under the age of 35 and looking for wellness. So, Even sounded like a good brand for that market. We put up a paper for our board's approval on these facts and why this brand will work in Saudi Arabia.

We have to make sure that everything is well-researched before we launch an offering. We then identify like-minded partners to help develop that brand. Nine out of ten times, investors, owners and developers know which of our brands they want. The critical part is making sure that you're offering these investors a return on investment. **We are not just in the**

“Our data shows that the [Indian] domestic market accounts for about 70%... there is a large base wanting to travel across the country for spiritual tourism, staycations or business”